

under the umbrella of a fund family. For a while, American Skandia Insurance Co. used Janus as subadvisor to manage its funds. American Skandia terminated the relationship in 2002, after Janus's disastrous losses in the bursting of the tech bubble.¹¹ Mutual fund companies use unaffiliated subadvisors to gain access to specialized managers, and these subadvisors in turn gain access to a different distribution channel.¹² Chen, Hong, and Kubik (2010) show that funds managed externally underperform funds that are managed inside the mutual fund family.

UITs are hybrids between mutual funds and closed-end funds. Like closed-end funds, they issue a fixed number of shares (*units*). The units are redeemable, like shares in mutual funds, but the UIT sponsor maintains a secondary market so that units are bought and sold between investors. A UIT buys and holds a set of assets until a preestablished termination date, when the UIT is dissolved and proceeds are paid to shareholders. Once a UIT is set up, there is typically no trading of the underlying assets. Unlike mutual and closed-end funds, UITs are so simple they do not need a board of directors or an investment advisor. But UITs are only a tiny fraction of the investment company universe (see Figure 16.2), and for this reason I do not talk about them separately in this chapter. However, the UIT category has been growing lately because some ETFs are technically classified as UITs.

ETFs trade on exchanges like closed-end funds and so offer investors immediate liquidity. Unlike closed-end funds, the number of shares is not fixed, and fund sponsors buy and sell shares to ensure that the quoted price of the ETF adheres closely to the NAV of the fund. ETFs are legally classified as mutual funds or UITs. The ETF market is growing fast. The share of assets in ETFs rose from less than 1% in 2000 to exceed 8% in 2011, and now ETFs hold over \$1 trillion of assets.

2.2. MINIMIZING CONFLICTS OF INTEREST

Before the 40-Act, investors were at a huge disadvantage to managers. Simply put, managers often stole outright from investors.¹³ The 40-Act stopped this and went further to “minimize conflicts of interest.” It created a large class of investment vehicles that protect the common man, and it has been hugely successful in this regard.

The 40-Act mitigates agency problems by . . .

Mandating Transparency

Registered investment companies must issue a *prospectus*, which discloses the fund's investment objectives, strategies, risk, expenses, and instructions on how

¹¹“Janus Loses a Big Client,” CNNMoney, Sept 27, 2002.

¹²See Del Guercio, Reuter, and Tkac (2009).

¹³According to Farina, Freeman, and Webster (1969), an SEC report in 1940 calculated that investors lost over \$1 billion in the 1920s and 1930s to investment company misconduct. The report highlighted several ways the investment managers found to steal investors' money. The variety of malfeasance makes for interesting reading.